Table 56.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the pattern's height by subtracting the lower rim low from the pattern's high. Add the difference to the high for upward breakouts or subtract the difference from the lower rim low for downward breakouts to get the target price. The bottom portion of the table shows how often this method works.
Buy above 30% retrace	For a more risky but profitable trade, buy when price rises above the right rim (low) by at least 30% of the pattern's height.
Right low support	The right rim low shows support. If price throws back to this level and continues down, sell or sell short.

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Percentage reaching quarter height target	88%	77%	63%	59%
Percentage reaching half height target	77%	57%	38%	35%
Percentage reaching full height target	58%	34%	14%	12%

Right low support. If you purchase a stock after a rounding turn completes (near the bottom of the pattern) and see price rise for a month or so, curl around, and fall below the right rim low, sell the stock. Most likely it is going to continue down. Watch for a bounce at the right rim low as that area sometimes acts as a support zone. As always, look for other areas of support